

**KEYS TO THE VAULT OFFICE EQUIPMENT
INCOME STATEMENT
FYE 12/31/20**

	12/31/2020
Sales	\$1,125,000
Cost of Goods Sold	790,000
Gross Profit	<u>\$335,000</u>
Marketing & Selling Expense	62,500
General & Administrative Expense	225,000
EBITDA	<u>\$47,500</u>
Depreciation	15,000
Amortization	1,200
EBIT	<u>\$31,300</u>
Interest	12,800
EBT	<u>\$18,500</u>
Taxes	1,300
Net Income	<u><u>\$17,200</u></u>

EBITDA - Acronym for **Earnings** before **Interest**, **Taxes**, **Depreciation** and **Amortization**. An Earnings subtotal derived from the **Income Statement** that typically refers to the **Operating Income** of the business. EBITDA is basically Net Income with Interest, Taxes, Depreciation and Amortization added back. It is used to compare profitability between businesses since it removes the effects of financing and capitalization decisions.

**KEYS TO THE VAULT OFFICE EQUIPMENT
INCOME STATEMENT
FYE 12/31/18, 12/31/19, 12/31/20**

	12/31/2018	12/31/19	12/31/20
Sales	\$600,000	\$900,000	\$1,125,000
Cost of Goods Sold	<u>420,000</u>	<u>624,000</u>	<u>790,000</u>
Gross Profit	\$180,000	\$276,000	\$335,000
Marketing & Selling Expense	30,000	48,000	62,500
General & Administrative Expense	<u>156,000</u>	<u>192,000</u>	<u>225,000</u>
EBITDA	(\$6,000)	\$36,000	\$47,500
Depreciation	12,000	12,000	15,000
Amortization	<u>1,200</u>	<u>1,200</u>	<u>1,200</u>
EBIT	(\$19,200)	\$22,800	\$31,300
Interest	<u>3,600</u>	<u>8,000</u>	<u>12,800</u>
EBT	(\$22,800)	\$14,800	\$18,500
Taxes	<u>0</u>	<u>0</u>	<u>1,300</u>
Net Income	<u><u>(\$22,800)</u></u>	<u><u>\$14,800</u></u>	<u><u>\$17,200</u></u>

**KEYS TO THE VAULT OFFICE EQUIPMENT
BALANCE SHEET
AS OF 12/31/20**

	12/31/2020 Actual
Assets	
Cash and Cash Equivalents	\$8,500
Accounts Receivable	135,000
Inventory	188,000
Notes Receivable	0
Current Assets	<u>\$331,500</u>
Gross Fixed Assets	150,000
Less Accumulated Depreciation	(39,000)
Net Fixed Assets	<u>\$111,000</u>
Goodwill, Net	14,400
Other Investments	0
Total Assets	<u>\$456,900</u>
Liabilities and Equity	
Accounts Payable	\$53,000
Taxes Payable	1,300
Other Liabilities	0
Current Liabilities	<u>\$54,300</u>
Long-term Debt	188,400
Total Liabilities	<u>\$242,700</u>
Equity	
Common Stock	205,000
Retained Earnings	9,200
Total Equity	<u>\$214,200</u>
Total Liabilities & Equity	<u>\$456,900</u>

**KEYS TO THE VAULT OFFICE EQUIPMENT
BALANCE SHEET
AS OF**

	12/31/2017 Actual	12/31/2018 Actual	12/31/2019 Actual	12/31/2020 Actual
Assets				
Cash and Cash Equivalents	\$22,000	\$4,800	\$5,400	\$8,500
Accounts Receivable	0	42,000	115,000	135,000
Inventory	55,000	110,000	148,000	188,000
Notes Receivable	0	0	0	0
Current Assets	<u>\$77,000</u>	<u>\$156,800</u>	<u>\$268,400</u>	<u>\$331,500</u>
Gross Fixed Assets	120,000	120,000	120,000	150,000
Less Accumulated Depreciation	0	(12,000)	(24,000)	(39,000)
Net Fixed Assets	<u>\$120,000</u>	<u>\$108,000</u>	<u>\$96,000</u>	<u>\$111,000</u>
Goodwill, Net	18,000	16,800	15,600	14,400
Other Investments	0	0	0	0
Total Assets	<u>\$215,000</u>	<u>\$281,600</u>	<u>\$380,000</u>	<u>\$456,900</u>
Liabilities and Equity				
Accounts Payable	\$0	\$30,400	\$51,000	\$53,000
Taxes Payable	0	0	0	1,300
Other Liabilities	0	0	0	0
Current Liabilities	<u>\$0</u>	<u>\$30,400</u>	<u>\$51,000</u>	<u>\$54,300</u>
Long-term Debt	10,000	69,000	132,000	188,400
Total Liabilities	<u>\$10,000</u>	<u>\$99,400</u>	<u>\$183,000</u>	<u>\$242,700</u>
Equity				
Common Stock	\$205,000	\$205,000	\$205,000	\$205,000
Retained Earnings	0	(22,800)	(8,000)	9,200
Total Equity	<u>\$205,000</u>	<u>\$182,200</u>	<u>\$197,000</u>	<u>\$214,200</u>
Total Liabilities & Equity	<u>\$215,000</u>	<u>\$281,600</u>	<u>\$380,000</u>	<u>\$456,900</u>

KEYS TO THE VAULT OFFICE EQUIPMENT CASH FLOW STATEMENT

	12/31/2018	12/31/2019	12/31/2020
Collections from Customers	\$558,000	\$827,000	\$1,105,000
Cash Paid to Suppliers (Inventory Paid)	(475,000)	(662,000)	(830,000)
Expenses Paid (MSG&A Paid)	(155,600)	(219,400)	(285,500)
Interest and Other Paid	(3,600)	(8,000)	(12,800)
Income Taxes Paid	(0)	(0)	(0)
Cash Flow from Operating Activities (OCF)	(\$76,200)	(\$62,400)	(\$23,300)
Fixed Asset Investment	(0)	(0)	(30,000)
Other Investments	(0)	(0)	(0)
Cash Flow from Investing Activities (ICF)	\$0	\$0	(\$30,000)
Borrow (Payback)	59,000	63,000	56,400
Paid In (Paid Out)	0	0	0
Dividends	(0)	(0)	(0)
Cash Flow from Financing Activities (FCF)	\$59,000	\$63,000	\$56,400
Increase/Decrease in Cash (Change in Cash)	(\$17,200)	\$600	3,100
Beginning Cash	22,000	4,800	5,400
Ending Cash	\$4,800	\$5,400	\$8,500

KEYS TO THE VAULT OFFICE EQUIPMENT (REFER TO PAGE 120, 122-123)

RECEIVABLE DAYS
FYE 12/31/18, 12/31/19, 12/31/20

	12/31/2018	12/31/2019	12/31/2020
1) <u>Average Receivables</u>			
Receivables at beginning of year +			
Receivables at end of year, Divided by 2	$\frac{\$0 + \$42,000}{2}$	$\frac{\$42,000 + \$115,000}{2}$	$\frac{\quad + \quad}{2}$
	= \$21,000	= \$78,500	= \$
2) <u>Receivable Turnover</u>			
Sales divided by Average Receivables	$\frac{\$600,000}{\$21,000}$	$\frac{\$900,000}{\$78,500}$	$\frac{\quad}{\quad} \div \frac{\quad}{\quad}$
	= 28.6	= 11.5	=
3) <u>Receivable Days</u>			
365 Days divided by Receivable Turnover	$\frac{365}{28.6}$	$\frac{365}{11.5}$	$\frac{\quad}{\quad} \div \frac{\quad}{\quad}$
	= 12.8 days	= 31.7 days	= days

Note: This formula for Receivable Days can be written one of two ways:

1) Receivable Days =
$$\frac{365}{\text{Receivable Turnover}}$$

OR

2) Receivable Days =
$$\frac{\text{Average Receivables} \times 365}{\text{Sales}}$$

KEYS TO THE VAULT OFFICE EQUIPMENT (REFER TO PAGE 120, 122-123)

**INVENTORY DAYS
FYE 12/31/18, 12/13/19, 12/31/20**

	12/31/2018	12/31/2019	12/31/2020
1) <u>Average Inventory</u>			
Beginning Inventory +	\$55,000 + \$110,000	\$110,000 + \$148,000	+
Ending Inventory Divided by 2	$\frac{2}{2}$	$\frac{2}{2}$	$\frac{2}{2}$
	= \$82,500	= \$129,000	= \$
2) <u>Inventory Turnover</u>			
COGS divided by Average Inventory	\$420,000 ÷ \$82,500	\$624,000 ÷ \$129,000	÷
	= 5.1	= 4.8	=
3) <u>Inventory Days</u>			
365 Days divided by Inventory Turnover	$365 \div 5.1$	$365 \div 4.8$	÷
	= 71.7 days	= 75.5 days	= days

Note: This formula for Inventory Days can be written one of two ways:

1) Inventory Days $\frac{365}{\text{Inventory Turnover}}$

OR

2) Inventory Days $\frac{\text{Average Inventory} \times 365}{\text{COGS}}$

**KEYS TO THE VAULT OFFICE EQUIPMENT
COMMON SIZE INCOME STATEMENT FYE
12/31/18, 12/31/19 12/31/20**

	2018	2019	2020
Sales ⁽¹⁾	100.0 %	100.0 %	100.0 %
Cost of Goods Sold	<u>70.0</u>	<u>69.3</u>	<u>70.2</u>
Gross Profit	30.0	30.7	29.8
Marketing & Selling Expense ⁽²⁾	5.0	5.3	5.6
General & Administrative Expense ⁽³⁾	<u>26.0</u>	<u>21.3</u>	<u>20.0</u>
EBITDA	-1.0	4.0	4.2
Depreciation	2.0	1.3	1.3
Amortization	<u>0.2</u>	<u>0.1</u>	<u>0.1</u>
EBIT	-3.2	2.6	2.8
Interest	<u>0.6</u>	<u>0.9</u>	<u>1.2</u>
EBT	3.8	1.7	1.6
Taxes	<u>0.0</u>	<u>0.0</u>	<u>0.1</u>
Net Income	<u><u>-3.8%</u></u>	<u><u>1.7%</u></u>	<u><u>1.5%</u></u>

⁽¹⁾ Sales Growth = N/A, 50%, 25%
\$600,000 to \$900,000 = 50%
\$900,000 to \$1,125,000 = 25%

⁽²⁾ Marketing and Selling Expense Growth = N/A, 60%, 30%
\$30,000 to \$48,000 = 60%
\$48,000 to \$62,500 = 30%

⁽³⁾ G & A Expense Growth = N/A, 23%, 17%
\$156,000 to \$192,000 = 23%
\$192,000 to \$225,000 = 17%

**KEYS TO THE VAULT OFFICE EQUIPMENT
KEY FINANCIAL DATA AND TRENDS
FYE 12/31/18, 12/31/19, 12/31/20**

	12/31/2018 ACTUAL	12/31/2019 ACTUAL	12/31/2020 ACTUAL
Sales			
Fixed Asset Investment	\$600,000 0	\$900,000 0	\$1,125,000 30,000
Costs and Expenses			
COGS/Sales	70.00%	69.33%	70.22%
MSG&A/Sales	31.00%	26.67%	25.60%
Net Income/Sales	-3.80%	1.70%	1.50%
Receivable Days	12.60	31.40	40.00
Inventory Days	70.71	74.42	76.55
Sales/Average Assets	2.41	2.72	2.70
Three Bottom Lines			
Operating Cash Flow (OCF)	(\$76,200)	(\$62,400)	(\$23,300)
Net Income (Loss)	(22,800)	14,800	17,200
ROA (Net Income/Average Assets)	-9.18%	4.47%	4.10%

Note: Information to launch your projections

KEYS TO THE VAULT OFFICE EQUIPMENT
KEY FINANCIAL DATA AND TRENDS
FYE 12/31/18, 12/31/19, 12/31/20

	12/31/2018 ACTUAL	12/31/2019 ACTUAL	12/31/2020 ACTUAL
Sales	\$600,000	\$900,000	\$1,125,000
Fixed Asset Investment	0	0	30,000
Costs and Expenses			
COGS/Sales	70.00%	69.33%	70.22%
MSG&A/Sales	31.00%	26.67%	ZOG
Net Income/Sales	-3.80%	1.70%	1.50%
Receivable Days	12.60	31.40	40.00
Inventory Days	70.71	74.42	76.55
Sales/Average Assets	2.41	2.72	2.70
Three Bottom Lines			
Operating Cash Flow (OCF)	(\$76,200)	(\$62,400)	(\$23,300)
Net Income (Loss)	(22,800)	14,800	17,200
ROA (Net Income/Average Assets)	-9.18%	4.47%	4.10%

Note: Information to launch your projections

How to Project Your Sales Increase

1. Start with Sales. What is your *specific* Sales and Marketing plan?
2. What have Sales been doing over the last couple of years (Trend)?
3. Who are your current customers? Do you expect them to buy more from you next year? WHY?
4. Will the size of their orders or frequency of purchase increase or decrease?
5. Who are potential new customers? How many of them can you “talk” to? How will you convince them to become your customers?
6. Will you lose any customers this year? If so, why and which ones?
7. Analyze your customers SPECIFICALLY, by product, location, price, size of order, etc. and figure out SPECIFICALLY what you will do differently next year to produce the results your desire.
8. You cannot say you want a 20% increase in Sales and expect that, by itself, to be adequate to produce the desired result.
9. Determine a SPECIFIC percentage increase in Sales.

REMEMBER: Hope is NOT a strategy for success!

KEYS TO THE VAULT OFFICE EQUIPMENT
PROACTIVE PROJECTED INCOME STATEMENT
12/31/2021

	'20	'21 BAU	'21 Proactive
Sales	\$1,125,000	\$1,312,875	\$1,312,875 ⁽¹⁾
Cost of Goods Sold	790,000	921,930	910,260 ⁽²⁾
Gross Profit	<u>\$335,000</u>	<u>\$390,945</u>	<u>\$402,615</u>
Marketing & Selling Expense	62,500	72,900	72,900
General & Administrative Expense	225,000	256,700	225,000 ⁽³⁾
EBITDA	<u>\$47,500</u>	<u>\$61,345</u>	<u>\$104,715</u>
Depreciation	15,000	17,000	17,000
Amortization	1,200	1,200	1,200
EBIT	<u>\$31,300</u>	<u>\$43,145</u>	<u>\$86,515</u>
Interest & Other Expenses	12,800	14,938	15,072
EBT	<u>\$18,500</u>	<u>\$28,162</u>	<u>\$71,443</u>
Income Taxes	1,300	1,300	1,300
Net Income	<u>\$17,200</u>	<u>\$26,826</u>	<u>\$70,143</u>
Return on Sales (ROS)	1.50%	2.00%	5.30%

(1) Increase Sales 16.7%

(2) Reduce COGS from 70.2% to 69.3% of sales (Yr. 2 level)

(3) Reduce Receivable Days from 40.6 to 31.8 days (9 days sooner)

(4) Reduce Inventory Days from 77.6 to 71.7 days (Yr. 1 level)

(5) Eliminate monetary increase in G & A

KEYS TO THE VAULT OFFICE EQUIPMENT

CASH FLOW STATEMENTS

	12/31/2018 ACTUAL	12/31/2019 ACTUAL	12/31/2020 ACTUAL	12/31/2021 PROJ. "BAU"	12/31/2021 PROJ. W/O CAPITAL
Collections from customers	\$558,000	\$827,000	\$1,105,000	\$1,290,330	\$1,353,851 ⁽¹⁾⁽²⁾
Cash paid to suppliers (inventory paid)	(475,000)	(662,000)	(830,000)	(953,326)	(891,840) ⁽³⁾⁽⁴⁾
Expenses paid (MSG&A paid)	(155,600)	(219,400)	(285,500)	(327,497)	(289,922) ⁽⁵⁾
Interest and other paid	(3,600)	(8,000)	(12,800)	(14,938)	(15,072) ⁽⁶⁾
Income taxes paid	0	0	0	(1,360)	(1,360)
Cash Flow from OPERATING activities (OCF)	(\$76,200)	(\$62,400)	(\$23,300)	(\$6,730)	\$155,717
Fixed asset investment	0	0	(30,000)	(20,000)	(20,000)
Other investments	0	0	0	0	0
Cash Flow from INVESTING activities (ICF)	\$0	\$0	(\$30,000)	(\$20,000)	(\$20,000)
Borrow (Repay)	59,000	63,000	56,400	0	0
Paid in (paid out)	0	0	0	0	0
Dividends	0	0	0	0	0
Cash Flow from FINANCING activities (FCF)	\$59,000	\$63,000	\$56,400	\$0	\$0
Increase/Decrease in cash (change in cash)	(\$17,200)	\$600	\$3,100	(\$26,730)	\$135,717
Beginning cash	22,000	4,800	5,400	8,500	8,500
Ending cash	\$4,800	\$5,400	\$8,500	(\$18,230)	\$144,217

- (1) Increase Sales 16.7%
- (2) Receivable days decreased from 40.56 to 31.80 days
- (3) Inventory days decreased from 77.62 to 71.70 days
- (4) COGS decreased from 70.22% to 69.33%
- (5) G & A decreased 20.00% to 17.14%
- (6) Interest rate of 8% on Long Term Debt of \$239,235

NOTICE: In the Projected Proactive column, the Business ended with \$134,217 of Cash and did not borrow or raise any third party capital.